



THE KALUPUR COMM.CO.OP BANK LTD.

(MULTI STATE SCHEDULED BANK)

VARACHHA ROAD BRANCH

Gautam Arcade ,1Shankarnagar society , Nr Kapodra Bridge,Varachha Road ,Surat - 395006

E-mail : varachha@kalupurbank.com

Phone : 0261- 2541970

Sanction Ref No: KCCB/043/0087/2022-23

Branch : Varachha Road

Date:- 10.10.2022

Sanction Letter For Advances

To,
M/s Shivam Creation
Prop. : Jitendrabhai Amarshibhai Lathiya
Plot No 753, 2nd Floor, New GIDC
Katargam Surat-395004

Reg:- Your Application for Finance

We are pleased to inform that your application dated 30.07.2022 for new /renewal of existing finance/ request for additional finance has been considered on 25.08.2022. The details of facility/ies and terms and conditions are as under:

Sr. No.	Nature of facility	Amount Sanctioned Rs.	Margin	Details of Primary Security	Rate of Interest %	Period	New/ Renew/ Additional
1	Small Business Overdraft	21,50,000/-	30.00% of valuation of Immovable property	Properties	7.50%	Upto 23.11.2023	Renew
2	Machinery Loan	64,00,000/-	25.00%	Machines	7.50%	60 months	Fresh

*Rate of Interest is subject to change as per internal policy, circulars and guidelines effective from time to time and at the sole discretion of the Bank.

**Note: SBOD Limit is sanctioned with monthly reduction of Rs. 50,000/-

Conditions for Advance:-

Details of Immovable property/ies for principle/collateral security:-

Security Details Unit No. 7, Gokul Park Co-operative Housing Society Ltd. Beside Laxmi Residency,

FOR, SHIVAM CREATION

PROPRIETOR

A 21/10/2022 11:10 AM

S. Suresh A. Lathiya

સાથે સિવા સર્કલ ના

	Gajera School Road, Katargam, Surat
Owner	Mr. Amarshibhai Jadavbhai Patel(Lathiya)

- You will have to give personal guarantee of following persons for above facilities:

(1)	Mr. Suresh Amarshibhai Lathiya	(2)	Mr. Amarshibhai Jadavbhai Lathiya
(3)	Mr. Mehulkumar Ganeshbhai Pavasiya		

✓ Tick mark the applicable conditions.

Installment and Interest

The Loan is repayable in installments each of 60 by Monthly/ Quarterly/Half yearly installments/ of Rs 1,06,666.67/- + Interest The moratorium period is for --- months.

✓ The Interest in loan/Cash Credit/overdraft A/cs to be paid every month before 10th of next month

Stock/Book-debt Statement

✓ You will have to submit, stock/book-debt statement as on last date of every month, before the 10th of the next month. If you fail to submit such statement/s before 10th of the next month, you will not be permitted to avail further facility. The penal interest will be charged till you submit stock/book debts statement as per Bank's rule from time to time.

✓ If the statement is submitted after 10th of next month Bank will charge penalty as per rules depending upon the amount of limit. This will be debited to your account.

✓ In Book-debt facility if the limit is above Rs.10/-lacs but below Rs.30/- lacs, you will have to submit book-debt statement as on 31st March duly certified by C.A. If the book debt limit is Rs.30/- lacs and above you will have to submit book debts statement as on 31st March, 30th June, 30th September and 31st December i.e. Quarterly compulsorily certified by your Chartered Accountant.

✓ In case of book-debt facility while submitting age wise monthly statement of book-debts, book-debts for more than 90 days must be shown as per Bank's prescribed format . The details of book-debts must be in descending order of date. The book-debts of sister/group concerns or any of the relatives are not to be included in this statement.

Insurance

✓ You will have to take comprehensive insurance of stocks/machinery/vehicle /building whichever is/are given to the Bank as Security. You will have to take insurance in favour of our Bank. (e.g. The Kalupur Comm. Co-op Bank Ltd. A/c. Your name. The original policy should be handed over to the Bank. If you do not submit new insurance policy/renewed policy within stipulated time then Bank will take/renew insurance at your cost and responsibility for adequate amount of security

For Vehicle Finance

You will have to take comprehensive insurance of the vehicle for full amount with Bank's hypothecation clause and hand over the policy to the Bank

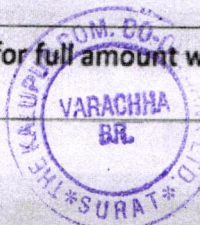
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John
PROPRIETOR

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Suresh A. Lathiya. M. 21/11/2021



	Processing Charges shall be applicable as per norms.
	The Bank shall levy Penal Interest charge of 0.50% on the un-utilised portion of the limit if the average utilization is less than 50% of the sanctioned limit.
	The Bank shall levy 2% Prepayment penalty if the account is taken over by any other Bank/Financial Institution and no penalty shall be charged in case the account is settled from own sources.
	The applicant to bear Registration, Modification and Satisfaction Charges in connection with registration of their mortgaged property with Central Registry of Securitisation Asset Reconstruction & Security Interest of India (CERSAI).
	The credit rating report of the firm to be obtained from any external rating agency and charges will have to be borne by the firm before disbursement of additional facilities.
	Cash margin of ____ be maintained in form of Fixed Deposit receipt on ILC/FLC limit.
	The joint drawings under LC opening with sub limit of FLC limit do not exceed Rs. ____ lacs at any given point of time.
	The limits of FBP/FBD (DA 180 days) limit will be permitted against irrevocable LC of prime / First class bank only. In case of sight bills discounting/ negotiation be done if in conformity with terms of credit and in case of usance bills only after receiving acceptance from the LC opening bank.
✓	Commission / interest etc will be charged as per FEDAI rules.

	Before availing the facility wherever applicable the borrower has to submit following papers.
✓	Acceptance of our sanction letter with terms and conditions.
	Board Resolution authorizing the Chairman/MD and Directors to execute the documents on behalf of the company. The draft resolution will be provided by the branch. It covers the clause for mortgage of company's property and registration of charge with ROC. It should also cover the use of common seal of the company and counter signature.
	The resolution should cover about Negative Lien clause.
	You have to submit certificate every year stating that the total Borrowings of the company do not exceed the total of paid up capital and reserves. (Sec. 293 of Companies Act , 1956)
	Special Note:-
✓	The Bank reserve right to alter/modify/change/add/delete any of the above conditions including change of rate of interest without prior Notice to you.
✓	The Bank also reserves right to recall the advances for breach/violation of the any of the conditions of above loan which please note.
✓	If the above terms and conditions are acceptable to you, kindly arrange to return a copy of this letter duly signed, by the borrower/s and guarantor/s.

Yours Faithfully,

[Signature]

Branch Manager
Code No. (661)

FOR, SHIVAM CREATION

[Signature]
PROPRIETOR

[Signature]
[Signature]
[Signature]

[Signature]

M

[Signature]

In the beginning you have to arrange for Bank's hypothecation charge in RTO Books. Thereafter RTO registration certificate is to be submitted to the Bank. You have to submit xerox copy of RTO book.

Original invoice and receipt of payment are to be given to the Bank.

Inspection

Bank shall be entitled to carry out inspection through its officers or authorized CA firm periodically, of the stocks/machinery/vehicle/property, any credit facilities and your book-debt, which you have given as security to the Bank from time to time. Necessary charges will be debited to your account

Condition Terms:

Other Conditions :-

The firm to infuse Fresh Capital of Rs. 8.44 lakhs and Unsecured Loan of Rs. 13.48 lakhs as margin contribution.

- ✓ To execute Extension of Mortgage of the property situated at Residential Property situated at Unit No. 7, Gokul Park Co-operative Housing Society Ltd. Beside Laxmi Residency, Gajera School Road, Katargam, Surat before release of limit.
- ✓ To ensure that Mortgage deed to be registered with the Sub-Registrar Office & Lien/ Charge to be noted with authority in stipulated time period.
- ✓ To release guarantee of Mr. Anilbhai Pravinbhai Chaklasiya and take Guarantee of Mr. Mehulkumar Ganeshbhai Pavasiya.
- ✓ If you are sanctioned loan facility only then you are required to open Savings/Current account in the branch and carry out all transactions through that account only. For repayment of loan you have to give mandate in our form for ECS debits or standing instruction.
- ✓ You have to Utilize facility/ies for the purpose for which it is sanctioned.
- ✓ In case of cash credit facility all transactions of the business must be routed through CC account.
You have to use the facility as per Drawing Power arrived at from the stock/book-debt, Pledge statement submitted by you. You have to also take care of monthly interest which will be debited to your account.
- In case of Bills purchase/discount facility the finance will be permitted only against drawees approved by the Bank. After ___ months it will be revalued also
- ✓ The valuation of the property/ies to be mortgaged to the Bank will be done by Bank's Approved Valuer at your cost.
- ✓ Title Clearance Report to be obtained of above mentioned properties from Banks empaneled advocate. The title of the property should be clear, marketable and unencumbered.
- In case of Private/Public limited company, the Bank's charge is to be registered with the Registrar of Companies in stipulated period.. The proof (viz. Form No.8, 13 and receipt for amount deposited and certificate) of charge registration is to be given to the Bank.
- ✓ You have to purchase ___ shares worth Rs. ___ of our Bank. The guarantor/s or related persons of the said advances will have to become Nominal member of the Bank.
- ✓ The firm to undertake on Rs. 300/- stamp paper:

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J

[Signature]

PROPRIETOR

[Handwritten signature]

[Handwritten signature]



- a) Maintain Capital at the level of Rs. 52.00 Lakhs, USL at Rs. 21.00 Lakhs, QDER at or below 3.00 and Current Ratio at or above 1.10 during currency of Bank finance.
- B) TNot to divert funds to outside firm to Friends / Relatives / Sister Concerns units. Bring back the funds, if any.
- c) Route minimum 80% of the sales turnover through OD Account of our bank.
- d) To Utilise minimum 80% of Sanction Limit.
- e) Not to use the fund for speculation purpose. Funds to be utilized for the purposed it is sanctioned on
- f) Plough back majority of the profits in the business.
- g) Keep the hypothecated assets/ Mortgaged Property fully insured and policy be duly assigned in banks
- h) Bear expenses related to legal, valuation, CERSAI, etc. as applicable. Remit the processing fees as per norms.
- i) To obtain and continue to obtain / renew various licenses / permissions / sanctions etc from various Government Departments from time to time and copy of the same should be given to the Bank.
- j) Submit the required data of renewal, insurance policy, Stock-Bookdebts statement, etc in time.
- k) Keep the account in order with regular payment of interest.
- l) Deal exclusively with us and not to avail any kind of finance from any Bank / NBFC / FIs without prior written permission of our bank.
- m) Not to undergo any change in constitution, amalgamation merger without prior written permission of our bank.
- n) To Open Saving A/c of the new guarantor Mr. Mehulkumar Ganeshbhai Pavasiya.
- ✓ Authorize Bank that In case interest, installment and/or charges remain unpaid and overdue for a period upto 30 days, Bank have a right to debit the amount from any of operative account maintained with Bank.
- ✓ You and your guarantors are requested to visit our Bank to execute the documents in person before authorized officer of the Bank.
- ✓ If there is any overdue observed for more than 30 days in any Term Loan/ Overdraft/ Cash Credit Etc., Branch will recover the Overdue amount from respective CC/OD/ Current A/c. (Operative Accounts)
- If there is any discrepancy in sales and Profitability, the same is to be intimated to branch.
- ✓ Property holders to stand as Guarantors and Nominal member.
- ✓ Before Disbursement the firm to submit CA certificate for infusion of capital of Rs 9.24 Lakhs.
- The stock received under LC (DA) limit shall be shown separately till retirement of documents under LC and will not be calculated in determining D.P. Calculation.
- Stock Audit of the company shall be made once in 12 months after commencement of commercial production/ disbursement of credit facilities by outside panel of CA firm of Bank.
- ✓ Payment shall be made directly to suppliers of Machines / Contractors/ Civil Engineers after deduction of appropriate margin money and documentary evidences of the same shall be submitted to Bank or in case of your payment to the suppliers, we can give you the Reimbursement of the payment in your Account after getting necessary original proofs/document after taking proper margin.
- Sub limit of Book debt facility be kept at Rs. _____ under overall limit of Rs. _____

Acceptance by the Borrower/s and the Guarantors	
✓	The detailed terms and conditions stated herein above as well as the rules and regulations which are in existence or which may come in force in future in respect of advances are/will be acceptable to us.
✓	The Bank will not be responsible to inform us the changes that may be done in rules and regulations. In this regard no objection will be raised by us and it is/will be acceptable to us.
✓	Our this guarantee, as per Indian contract act clause No. 140, 141 or any other clauses which are in favor of the guarantors will not be used against the Bank. I/We accept the full responsibility of the above finance which we confirm by this letter.
✓	I/We jointly and severally accept the responsibility to pay the outstanding balance amount of above finance.
✓	Applicant has to solve the query raised in PSS.
✓	Applicant has to agree with Terms and Condition that may change in future by Bank.

*Signature of Borrower/s

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1. [Signature]

2. PROPRIETOR

3. _____

Signature of Guarantor/s

A 1. [Signature]

S 2. Satish A. Patil

M 3. [Signature]

[Signature]

*(To be signed by all under the rubber stamp of the firm except individual cases.)